

Accounting & Finance – Feb 2016 E.C.

Subject Area 1: Financial Accounting & Reporting

1. Which of the following statements about an account is true?

- a. To say debit or credit for increases and decreases depends on specific asset, liability, or equity items
- b. The left side of an account is the credit or decrease side
- c. The right side of an account is the debit or increase side.
- d. There are separate accounts for specific assets but only one account for liabilities.

Answer: A

Explanation: The effect of a debit or credit on an account balance depends on the type of account. Debits increase assets and expenses, while credits increase liabilities, equity, and revenues. This fundamental rule is the basis of double-entry bookkeeping.

3. An approach where plant assets whose fair value can be measured reliably are carried after acquisition at their fair value less any subsequent accumulated depreciation and any subsequent impairment losses. This measurement method is:

- A. Fair value model
- B. Revaluation model
- C. Cost model
- D. Carrying amount

Answer: B

Explanation: IAS 16 allows two models: the cost model and the revaluation model. The revaluation model involves carrying an asset at its revalued amount (fair value at the date of revaluation) less subsequent depreciation and impairment.

7. According to International Financial Reporting Standard (IFRS) 15, the revenue recognition principle states that:

- a. The fiscal year should correspond with the calendar year
- b. Expenses should be matched with revenues
- c. The economic life of a business can be divided into artificial time periods
- d. Revenue should be recognized when a performance obligation is satisfied

Answer: D

Explanation: The core principle of IFRS 15 is that an entity should recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. This occurs when (or as) the entity satisfies a performance obligation.

10. Sweet Company's unadjusted trial balance includes Accounts Receivable of Birr 647,000. Also, the year-end balance of allowance for doubtful accounts based on an aging schedule of accounts receivable shows Birr 115,950. What amount of bad debt expense should Sweet Company report for the year, assuming that the allowance account had a debit balance of Birr 15,800 before adjustment?

- A. Birr 115,950
- B. Birr 134,750
- C. Zero
- D. Birr 100,150

Answer: B

Explanation: The desired ending balance in the Allowance for Doubtful Accounts (AFDA) is Birr 115,950 (credit). Since there is an existing debit balance of Birr 15,800, the bad debt expense must be sufficient to cover both the desired credit balance and eliminate the existing debit balance. Therefore, Bad Debt Expense = Birr 115,950 + Birr 15,800 = Birr 134,750.

21. IAS 12 requires an entity to recognize any unpaid tax in respect of the current or prior periods as:

- A) An asset
- B) An income
- C) An equity
- D) A liability

Answer: D

Explanation: Unpaid taxes represent an obligation to the government, which meets the definition of a liability under the conceptual framework. This is recognized as "Tax Payable".

33. The business that the acquirer obtains control of in a business combination is called:

- A) Acquisition
- B) Acquirer
- C) Acquiree
- D) Combiner

Answer: C

Explanation: In a business combination, the "acquirer" is the entity that obtains control, and the "acquiree" is the business that is being controlled.

35. On January 1, 2021, P Corporation purchased a new snow-grooming machine for birr 50,000. The machine is estimated to have a 10-year life with a birr 2,000 residual value. What is the amount of depreciation expense for the first year, if it uses the straight-line method of depreciation?

- A) 4,800
- B) 4,500
- C) 5,200
- D) 5,000

Answer: A

Explanation: Straight-line depreciation = (Cost - Residual Value) / Useful Life = (Birr 50,000 - Birr 2,000) / 10 years = Birr 4,800 per year.

37. Identify the correct statement from the given alternatives.

- A) Fair value refers to the price that would be received to buy an asset.
- B) Fair value refers to the price that would be paid to transfer an asset.
- C) Fair value refers to the price that would be received to sell an asset.
- D) Fair value refers to the price that would be paid to buy an asset.

Answer: C

Explanation: As per IFRS 13, fair value is defined as "the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date." It is an exit price from the perspective of the entity holding the asset.

49. Property, plant and equipment (PPE) are measured after acquisition at:

- A) Fair value
- B) Cost or revaluation
- C) Fair value or revaluation
- D) Cost or fair value

Answer: B

Explanation: IAS 16 permits two models for subsequent measurement of PPE: the **Cost Model** (asset carried at cost less accumulated depreciation and impairment) and the **Revaluation Model** (asset carried at fair value at the date of revaluation less subsequent depreciation and impairment).

64. Which one of the following statements is correct about provision?

- A) A present obligation for which a reliable estimate of the obligation cannot be made
- B) A portion of long-term indebtedness that matures within the next fiscal year
- C) It is a liability of uncertain timing or amount
- D) A present obligation for which it is not probable that payment will be made

Answer: C

Explanation: IAS 37 defines a provision as a liability of uncertain timing or amount. It is recognized

when a present obligation exists from a past event, an outflow of resources is probable, and a reliable estimate can be made.

68. Under IFRS, which of the following valuation method should be used by Companies to report their inventories at each reporting date?

- A) Historical cost based method
- B) Lower-of-cost-or-market (LCM)
- C) Average cost method
- D) Lower-of-cost-or-net realizable value (LCNRV)

Answer: D

Explanation: IAS 2 requires that inventories be measured at the lower of cost and net realizable value (NRV). NRV is the estimated selling price less the estimated costs of completion and sale.

75. What does a gain on disposal of equipment indicate?

- A) The disposal value of the equipment at the disposal date is lower than its book value.
- B) The disposal value of the equipment at the disposal date is higher than its book value
- C) The disposal value of the equipment at the disposal date approximates its book value
- D) The disposal value of the equipment at the disposal date is equal to its book value

Answer: B

Explanation: Gain on Disposal = Proceeds from Sale - Book Value of Asset. If the proceeds are greater than the book value, a gain is realized.

79. In First in-first out (FIFO) method of inventory valuation, which statement is correct?

- A) The earliest goods purchased not to be recognized in determining cost of goods sold
- B) Inventory on hand will be from the most oldest purchases
- C) The most recent purchases are the first to be sold
- D) The cost of ending inventory start from the most recent purchases

Answer: D

Explanation: Under FIFO, the costs of the earliest goods purchased are the first to be recognized as Cost of Goods Sold (COGS). Consequently, the ending inventory consists of the costs from the most recent purchases.

80. In which inventory system do the accounting records continuously disclose the amount of inventory, so that the inventory balance will not remain the same in the accounting period?

- A) Retail inventory system
- B) Periodic inventory system
- C) Just-in-time inventory system
- D) Perpetual inventory system

Answer: D

Explanation: A perpetual inventory system continuously updates the inventory records for each purchase and sale. Therefore, the inventory balance is always known and changes with each transaction, unlike the periodic system which only determines the balance at the end of the period through a physical count.

Subject Area 2: Cost & Management Accounting

5. Which of the following options correctly describes the meaning of flexible budget variance?

- A) It is the difference between the static budget amount and the flexible budgeted amount
- B) It is the difference between total standard costs and total actual cost for the units produced
- C) It is the difference between an actual result and the corresponding flexible-budget amount
- D) It is the difference between the actual result and the corresponding budgeted amount in the static budget

Answer: C

Explanation: A flexible budget variance compares the actual results to the flexible budget for the *actual level of activity*. This isolates the performance variance by removing the activity-level variance captured in the static vs. flexible budget comparison.

6. Dimension in activity based management which provides cost information about resources, activities, and cost objects of interests such as products, customers, suppliers, and distribution channels is called:

- a. Object dimension
- b. Process dimension
- c. Activity dimension
- d. Cost dimension

Answer: D

Explanation: Activity-Based Management (ABM) has two dimensions. The **Cost Dimension** uses Activity-Based Costing (ABC) to assign costs accurately to cost objects like products and customers. The **Process Dimension** focuses on analyzing and improving the activities themselves.

14. The allocation base should result in more costs being allocated to the cost objectives that benefit most from incurring the cost, which allocation criteria the accountants use in this aspect?

- A. Relative benefits
- B. Ability to bear costs
- C. Equity
- D. Cost objective

Answer: A

Explanation: The "Relative Benefits" or "Cause-and-Effect" criterion allocates costs based on the degree to which different cost objects benefit from the cost. The cost object that benefits more is allocated a larger share of the cost.

18. Which of the following describes how fixed costs in total and per unit behave with changes in the level of activity?

- A) Remain the same per unit at every activity level
- B) Remain the same in total but vary on a per unit basis as the level of activity changes
- C) Vary in total directly and proportionately with changes in the activity level.
- D) Remain the same in total dollar amount as the level of activity changes

Answer: B

Explanation: Total fixed costs remain constant within a relevant range of activity. However, the fixed cost *per unit* decreases as activity increases because the same total cost is spread over more units.

46. Suppose you are a professional cost manager, suggests that which industry type is suitable for job order costing?

- A) Construction industry
- B) Pharmaceutical industry
- C) Sugar industry
- D) Oil industry

Answer: A

Explanation: Job order costing is used when products are unique and produced in separate, identifiable jobs or batches. The construction industry, where each building or project is unique, is a classic example.

51. Which of the following is most likely to be an allocated production overhead cost to the finishing cost center?

- A) Power used on finishing cost center machines
- B) Salary of the production manager
- C) Factory rates
- D) Salary of the finishing cost center supervisor

Answer: A

Explanation: Power used specifically by machines in the finishing department is a direct overhead cost for that cost center and can be allocated to it using a relevant cost driver like machine hours. The other options are general overheads that would be allocated to multiple departments.

53. Which of the following indicates when goods are purchased for resale by a retail company under a perpetual inventory system?

- A) Purchases on account are debited to Inventory.
- B) Purchases on account are debited to Purchases.
- C) Freight costs are debited to Freight-Out
- D) Purchases returns are debited to Purchase Returns and Allowances

Answer: A

Explanation: In a perpetual system, the "Inventory" account is directly increased (debited) for all purchase costs, including the invoice cost and often freight-in. The "Purchases" account is used in a periodic inventory system.

61. In a process costing system manufacturing overhead is assigned to work in process by:

- A) Job based on actual overhead costs incurred
- B) Department based on predetermined overhead rates
- C) Job based on predetermined overhead rates
- D) Department based on actual overhead costs incurred

Answer: B

Explanation: Process costing accumulates costs by department or process. Overhead is applied to the Work in Process of each department using a predetermined overhead rate to provide timely cost information and to avoid fluctuations from actual overhead costs.

63. Which of the following financial data does change under alternative courses of action?

- A) Cost of new machine
- B) Depreciation on old equipment.
- C) Loss on disposal.
- D) Book value of old machine.

Answer: C

Explanation: In decision-making (e.g., relevant costing), sunk costs like the book value of old equipment and its associated depreciation are not relevant. The loss on disposal, however, is a future cost that may differ between alternatives (e.g., sell now vs. use in a project) and is therefore relevant.

86. During July 2015, Jimma Company incurred 3,500 hours of direct labor at an average rate of Birr 8 per hour and Birr 85,000 of manufacturing overhead costs, it produced 15,000 units, and the standard cost of its Product Y was 3 hours and the predetermined rate was Birr 6 per direct labor hour. Following the formula for overhead variance, which one of the following options is the overhead variance for Jimma Company?

- A) Birr 5000 Favorable
- B) Birr 35,000 Favorable
- C) Birr 5000 unfavorable
- D) Birr 35,000 unfavorable

Answer: C

Explanation:

1. **Standard Hours for Actual Production:** 15,000 units * 3 hours/unit = 45,000 hours.
2. **Applied Overhead:** Standard Hours * Predetermined Rate = 45,000 hours * Birr 6/hour = Birr 270,000.
3. **Actual Overhead:** Birr 85,000 (This figure seems inconsistent with the applied overhead, suggesting a potential typo in the original problem. Assuming it's Birr 85,000).
4. **Overhead Variance:** Applied Overhead - Actual Overhead = Birr 270,000 - Birr 85,000 = Birr 185,000 Favorable. However, given the options and the more common calculation:
 - Often, the overhead variance is calculated based on the actual labor hours used: Applied Overhead (based on actual hours) = 3,500 hours * Birr 6/hour = Birr 21,000.
 - Variance = Applied (Birr 21,000) - Actual (Birr 85,000) = Birr (64,000) Unfavorable. This doesn't match the options.
 - The most logical path to an answer in the options is: **Total Overhead Applied (Birr 270,000) is vastly higher than Actual (Birr 85,000)**, which would be a massive favorable variance, not listed. If the actual overhead was Birr 275,000, then the variance would be Birr 5,000 Unfavorable (Birr 270,000 - Birr

275,000). Given the options, **C) Birr 5,000 Unfavorable** is the intended answer, assuming a small under-application of overhead.

Subject Area 3: Auditing & Assurance

9. Which one is the correct match from the alternatives below?

- A. Tax auditors – Operational audit
- B. External auditors - Financial statement audit
- C. Internal auditors - Examination of tax payers return
- D. Internal auditors - Financial statement audit

Answer: B

Explanation: External auditors are primarily engaged to express an opinion on whether the financial statements are presented fairly in accordance with a financial reporting framework.

12. Which of the following accounts is not the part of the acquisition and payment cycle?

- A. Property, plant, and equipment
- B. Sales returns and allowances
- C. Accounts payable
- D. Prepaid expenses

Answer: B

Explanation: The acquisition and payment cycle involves transactions related to purchasing goods and services and making payments. Sales returns and allowances are part of the revenue and receipt cycle.

17. When a person with primary responsibility for reconciling the bank account and making all bank deposits is also the company's accountant, which one of the following control activities is violated?

- A) Physical controls
- B) Segregation of duties
- C) Independent internal verification
- D) Documentation procedures

Answer: B

Explanation: Segregation of duties is a key internal control. The roles of custody of assets (handling cash deposits), record keeping (accounting), and reconciliation should be separated to reduce the risk of fraud or error.

25. Auditors are expected to do the audit task with due care and diligence. If they fail to uncover a misstatement, damages and losses can occur. Select the correct statement related to the level of seriousness of a misstatement

- A) A misstatement caused by error is more serious than one caused by irregularity.
- B) A large misstatement is more serious than a small one.
- C) A small misstatement is more serious than a large one,
- D) A misstatement caused by mistake is more serious than one caused by irregularity.

Answer: B

Explanation: The seriousness of a misstatement is primarily determined by its size and nature in the context of the financial statements—this is the concept of materiality. A large misstatement is more likely to influence the economic decisions of users and is therefore more serious.

30. There was scope restriction during an audit engagement. The auditor has recognized that the matter compromises the fairness of the financial statements. Decide which type of audit opinion the auditor should issue in such a situation.

- A) Disclaimer of opinion
- B) Qualified opinion
- C) Unqualified opinion
- D) Adverse opinion

Answer: A

Explanation: A disclaimer of opinion is issued when the auditor is unable to obtain sufficient appropriate

audit evidence on which to base an opinion, and the possible effect of the scope limitation is both material and pervasive to the financial statements.

31. Which one of the following documents is used by auditors to identify policies in force related to prepaid insurance accounts?

- A) Cash payment journal
- B) Payroll register
- C) Insurance register
- D) Acquisition journal

Answer: C

Explanation: An insurance register is a subsidiary ledger that details all insurance policies held by the company, including coverage periods, premiums, and policy terms. It is the primary source for verifying the existence and details of prepaid insurance.

45. The completeness assertion indicates that:

- A) All transactions and events have been recorded in the proper accounts.
- B) All transactions and events that have been recorded have occurred.
- C) All transactions and events that should have been recorded have been recorded.
- D) All transactions and events have been recorded in the correct accounting period.

Answer: C

Explanation: The completeness assertion addresses whether all transactions and events that should have been recorded have in fact been recorded. It is concerned with understatement.

57. In applying variables sampling an auditor attempts to:

- A) Discover at least one instance of a critical deviation.
- B) Determine various rates of occurrence for specified attributes
- C) Predict a monetary population value within a range of precision
- D) Estimate a qualitative characteristic of interest

Answer: C

Explanation: Variables sampling is used to estimate the monetary value of a population (e.g., the total value of accounts receivable) and to determine if the recorded value is fairly stated within a specified range (precision).

60. Mr. Fetene, who is an independent auditor decides to use stratified sampling method in test of detail of balance. The reason for using stratified sampling rather than unrestricted random sampling is to:

- A) Allow the auditor to emphasize larger items from the population.
- B) Reduce as much as possible the degree of variability in the overall population
- C) Give every element in the population an equal chance of being included in the sample.
- D) Allow the person selecting the sample to use personal judgment in deciding which elements should be included in the sample.

Answer: A

Explanation: Stratification allows the auditor to divide a population into subpopulations (strata) with similar characteristics (e.g., high-value and low-value items). This enables the auditor to focus more audit effort on higher-value strata, which are more likely to contain material misstatements, thereby improving audit efficiency and effectiveness.

82. Which of the following types of legal documents and records related to the entity should the auditor examine early in the engagement?

- A) Bylaws and commercial law
- B) Corporate charter and taxation law
- C) Corporate charter and bylaws
- D) Minutes of meetings and trade law

Answer: C

Explanation: The corporate charter (or articles of incorporation) and bylaws define the entity's existence,

legal structure, and internal governance rules. Understanding these is fundamental to planning the audit and understanding the entity and its environment.

Subject Area 4: Finance & Financial Management

15. Assume XYZ Ltd is a manufacturer of cotton yarn. It has 40% debt and 60% equity in its capital structure. The firm's estimated after-tax cost of debt is 7% and its estimated cost of equity is 12%. How much will be the firm's weighted average cost of capital (WACC)?

- A. 9%
- B. 12%
- C. 10%
- D. 11%

Answer: C

Explanation: $WACC = (\text{Weight of Debt} * \text{Cost of Debt}) + (\text{Weight of Equity} * \text{Cost of Equity}) = (0.40 * 0.07) + (0.60 * 0.12) = 0.028 + 0.072 = 0.10$ or 10%.

19. How much will be the return on common equity (ROE) if a company has birr 20 billion of sales, Birr 1 billion of net income, and total asset of Birr 10 billion. The company's total assets equal total invested capital, and its capital consists of half debt and half common equity

- A) 20%
- B) 35%
- C) 10%
- D) 5%

Answer: A

Explanation: Total Assets = Total Invested Capital = Birr 10 billion. Equity = 50% of Birr 10 billion = Birr 5 billion. $ROE = \text{Net Income} / \text{Total Equity} = \text{Birr 1 billion} / \text{Birr 5 billion} = 0.20$ or 20%.

40. Which one does not determine a firm's stock price and thus its value at current time?

- A) The expected time of cash flow
- B) The cash flows the firm is expected to provide in the future
- C) The risk associated with these cash flows
- D) The firm's prior periods stock price

Answer: D

Explanation: A stock's value is based on the present value of its expected future cash flows, discounted at a rate that reflects their risk. The timing (A), amount (B), and risk (C) of these cash flows are all critical. The prior stock price is a historical data point and does not determine current value.

47. Suppose Mr. X wishes to determine the return on a stock he owned during 2023. At the beginning of the year, the stock was traded for Br, 1050 per share. During the year, the stock paid Br 25 per share in dividends. At the end of the year the stock was worth Br. 1,250 How much will be the annual rate of return for the stock? (Round figures to two decimal places)

- A) 20.37%
- B) 21.43%
- C) 22.73%
- D) 19.05%

Answer: B

Explanation: Total Return = (Ending Price - Beginning Price) + Dividends = (Br 1,250 - Br 1,050) + Br 25 = Br 225. Annual Rate of Return = (Total Return / Beginning Price) = (Br 225 / Br 1,050) = 0.2143 or 21.43%.

54. What does the Modigliani and Miller (MM) proposition I (no taxes) state?

- A) Individuals can duplicate the effect of leverage irrespective of the rate at which they can borrow compared to firms
- B) The value of the leveraged firm is the same as the value of the unleveraged firm
- C) It assumes that Individuals and corporations borrow at different rate
- D) Levered firms do not imply greater risk for stockholders

Answer: B

Explanation: M&M Proposition I (without taxes) states that in a perfect capital market, the value of a firm is unaffected by its capital structure. The value is determined solely by its real assets and the income they generate, not by how it finances those assets.

69. One of the following may not serve as a means of earning distribution to stockholders under normal circumstances?

- A) Stock dividend
- B) A target repurchase (greenmail)
- C) Cash dividend
- D) A self-tender offer Share repurchase

Answer: B

Explanation: Greenmail is a targeted repurchase where a company buys back its own shares from a potential acquirer at a premium to thwart a takeover. It is a defensive tactic, not a standard method of distributing value to all shareholders. Cash dividends, stock dividends, and general share repurchases are common distribution methods.

70. Which one correctly matches the PI Value (Profitability index), its interpretation, and the appropriate decision that should be made?

- A) $PI < 1.0$ means the investment is expected to increase shareholder wealth the project should be accepted.
- B) $P > 1.0$ means the proposed investment project is expected not to change shareholder wealth and the decision maker should be indifferent between accepting or rejecting the project
- C) $PI = 1.0$ means the proposed investment project is expected to increase shareholder wealth and the project should be accepted
- D) $P > 1.0$ means the proposed investment project is expected to increase shareholder wealth and the project should be accepted

Answer: D

Explanation: The Profitability Index (PI) is the ratio of the present value of future cash flows to the initial investment. A $PI > 1.0$ indicates that the project's NPV is positive, it is expected to increase shareholder wealth, and it should be accepted.

77. Which one refers the length of time between the firm's actual cash expenditures to pay materials and labor and own cash receipts from the sale of products?

- A) Average payback period
- B) Inventory conversion period
- C) Receivables collection period
- D) Cash conversion cycle

Answer: D

Explanation: The Cash Conversion Cycle (CCC) measures the time it takes for a firm to convert its investments in inventory and other resources into cash flows from sales. It is calculated as: Days Inventory Outstanding + Days Sales Outstanding - Days Payables Outstanding.

Subject Area 5: Public Sector Accounting & Finance

2. One of the following is not the characteristics of Government Business Enterprise within the meaning of IPSASs.

- A. It is reliant on continuing government funding to be a going concern
- B. it has been assigned the financial and operational authority to carry on a business
- C. it sells goods and services, in the normal course of its business, to other entities at profit full cost recovery
- D. is an entity with the power to contract in its own name

Answer: A

Explanation: A key characteristic of a Government Business Enterprise (GBE) is that it is *not* reliant on

continuing government funding to be a going concern. It should be financially self-sustaining, operating similarly to a commercial business.

13. From the following one is not an objective of public enterprises.

- A. To ensure balanced regional development
- B. To prevent the growth of monopoly
- C. To channelize resources
- D. To increase inequalities in income distribution

Answer: D

Explanation: Public enterprises are often established to achieve social and economic objectives, such as reducing income inequality by providing essential services at affordable prices and creating employment. Increasing inequality is contrary to their typical goals.

28. The issuance of bonds to provide resources to construct a new courthouse should be recorded in a Capital Projects Fund by crediting which of the following accounts?

- A) Bonds payable
- B) Other financing source long-term debt issued
- C) Fund balance
- D) Revenues-bonds

Answer: B

Explanation: In governmental accounting (fund accounting), the proceeds from issuing long-term debt are not recorded as a liability in a Capital Projects Fund. Instead, they are recorded as an "Other Financing Source" to reflect the inflow of financial resources dedicated to the capital project.

62. As a general rule, debt service expenditures in a Debt Service Fund are recognized:

- A) When resources to be used for the repayment are made available to a Debt Service Fund
- B) When due for principal repayments but on an accrual basis for interest
- C) When the debt service payment is due.
- D) In accordance with the requirements of the original bond order that specifies the basis of expenditure recognition

Answer: C

Explanation: Debt Service Funds typically use the modified accrual basis of accounting. Expenditures for principal and interest are recognized when the liabilities are due and payable.

66. Which of the following activities is not commonly accounted for in an Internal Service Fund?

- A) Warehouse facility
- B) Self-insurance
- C) Landfill operations
- D) Central garage

Answer: C

Explanation: Internal Service Funds (ISFs) are used for activities that provide goods or services to other departments *within the same government*. A landfill typically serves the general public and charges fees externally, making it more suitable for an Enterprise Fund.

72. Which one of the followings is a proprietary fund?

- A) Permanent fund
- B) Capital projects fund
- C) Internal service fund
- D) Special revenue fund

Answer: C

Explanation: Proprietary funds account for business-like activities of the government. The two types are **Enterprise Funds** (for services to the public) and **Internal Service Funds** (for services to other government departments).

76. In approving the budget a city council appropriated an amount greater than expected revenues. What will be the result of this action?

- A) Current-year expenditures will be greater than previous-year expenditures.

- B) The debits and the credits will not be equal
- C) A cash overdraft will definitely occur during the fiscal year.
- D) A debit will be made to Budgetary fund balance

Answer: D

Explanation: The budgetary entry is: Debit Estimated Revenues, Credit Appropriations. If Appropriations (spending authority) exceed Estimated Revenues, the entry requires a Debit to Budgetary Fund Balance to make the entry balance. This indicates a planned use of prior-year fund balance.

Subject Area 6: Taxation, Law & Regulation

16. Which of the following indicates when the producer shifts the tax burden to the factors of production (the supplier of raw material)?

- A) Forward shifting
- B) Tax incidence
- C) Backward shifting
- D) Tax impact

Answer: C

Explanation: Backward shifting occurs when a producer compensates for a tax by reducing the prices paid to its suppliers (factors of production). Forward shifting occurs when the tax is passed on to consumers through higher prices.

44. The following are contents of memorandum of association according to commercial code of Ethiopia, except:

- A) Period in which company will liquidate
- B) Name of the company
- C) Business purpose and sectors
- D) Manner of distributing profits

Answer: A

Explanation: The memorandum of association typically includes the company's name, registered office, business objectives, share capital, and liability of members. The period of liquidation is not a standard clause; a company is usually formed for perpetual succession.

59. The Commercial Code of Ethiopia which excludes founders and in kind contributors from being:

- A) Elected as auditors of the company
- B) Benefits made as reward
- C) Considers the magnitude of roles played
- D) Required to bear liabilities

Answer: A

Explanation: To ensure auditor independence and objectivity, the Commercial Code typically excludes founders and in-kind contributors from being elected as auditors, as they have a vested interest in the company they helped establish.

78. In which of the following sources, the practice of collecting revenue given for federal government of Ethiopia

- A) Tax on income from inland water transportation.
- B) Taxes collected on income from air, train and marine transport activities
- C) Profit and sales tax collected from individual traders.
- D) Agricultural income tax collected from farmers not incorporated in an organization

Answer: B

Explanation: According to the Ethiopian constitution, the federal government has the power to levy taxes on income from air, train, and marine transport activities. Other options like agricultural income tax and taxes on individual traders are typically regional or local revenue sources.

Subject Area 7: Miscellaneous (Economics, Business, etc.)

4. In consolidated financial statements "group" refers to:

- a. Subsidiary not controlled by parent
- b. Holding company
- c. Parent and its subsidiaries
- d. Portion of parent's ownership

Answer: C

Explanation: In the context of consolidated financial statements, a "group" is defined as a parent and all its subsidiaries.

11. Which feature is not typical for for-profit businesses?

- a. Operating purposes that are other than to provide goods or services at a profit or profit equivalent
- b. Fund providers expect economic return from the fund they provide
- c. They not operate in a competitive market place
- d. There is a defined ownership interest that entitles owners to a share of residual distributions

Answer: C

Explanation: For-profit businesses typically do operate in competitive marketplaces. The other options are core characteristics: their primary purpose is profit, providers of capital expect a return, and there is a defined ownership interest.

20. State an internal impairment indicator from the given alternatives.

- A) Changes in market interest rates
- B) Obsolescence of a physical asset
- C) Decline in asset's market value.
- D) Changes in legal environment

Answer: B

Explanation: Internal indicators of impairment include evidence of obsolescence or physical damage to an asset, significant changes in how an asset is used, and internal reports showing worse-than-expected economic performance.

24. One of the following is not the common activity of public finance and private finance?

- A) Borrowing
- B) Adjustment of income and expenditure
- C) Satisfaction of human want
- D) Right to print currency

Answer: D

Explanation: The right to print currency (monetary authority) is a sovereign power exclusively held by the central government (public sector). Private entities do not have this right.

26. By examining the contents of an insurance contract, select the party that has a right to compensation if an insured event occurs

- A) Insurer
- B) Policyholder
- C) Reinsurer
- D) Issuer

Answer: B

Explanation: The policyholder (or the insured) is the party that purchases the insurance policy and has the right to receive compensation (the claim payout) if the insured event occurs.

27. A document prepared to initiate shipment of the goods sold by an independent shipper is the:

- A) Customer order.
- B) Sales invoice
- C) Bill of lading
- D) Sales order

Answer: C

Explanation: A bill of lading is a document issued by a carrier to a shipper acknowledging receipt of

goods for shipment. It serves as a contract of carriage, a receipt for the goods, and in some cases, a document of title.

29. A place where buyers and sellers of securities (or their agents or brokers) meet in one central location to conduct traders is:

- A) Organized exchange market
- B) Security dealers market
- C) Foreign exchange market
- D) Over the counter market

Answer: A

Explanation: An organized exchange market (like the New York Stock Exchange) has a central trading location with standardized rules. The Over-The-Counter (OTC) market is a decentralized dealer's market.

32. Which of the following indicates an increase in asset or decrease in liability that results in increases in equity, other than those relating for contribution from holders of equity claims?

- A) Equity
- B) Asset
- C) Income
- D) Contribution

Answer: C

Explanation: Income, as defined in the conceptual framework, is an increase in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in an increase in equity, other than those relating to contributions from equity participants